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Case Number: 26STCV07352 Hearing Date: July 8, 2026 Dept: 509

First Legal Buyer, Inc. v. Strategic Legal Practices, APC

DEMURRER TO CROSS-COMPLAINT

MOVING PARTY: Plaintiff/Cross-Defendant, First Legal Buyer, Inc.

RESPONDING PARTY(S): Defendant/Cross-Complainant Strategic Legal Practices, APC

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Plaintiff First Legal Buyer, Inc. is a litigation support services company. First Legal Buyer, Inc., alleges that law firm Strategic Legal Practices, APC failed to pay more than \$4 million for services rendered under a contract. First Legal Buyer, Inc., alleges causes of action for: (1) breach of contract; (2) open book account; (3) account stated; and (4) quantum meruit.

Strategic Legal Practices, APC (Cross-Complainant) filed a cross-complaint against First Legal Buyer, Inc., (Cross-Defendant) alleging that the unpaid invoices result from Cross-Defendant's breach of the agreement. Cross-Complainant alleges causes of action for: (1) breach of contract; (2) breach of the covenant of good faith and fair dealing; (3) intentional misrepresentation; (4) negligent misrepresentation; (5) professional negligence; and (6) equitable accounting.

Cross-Defendant now demurs to the second, third, and fifth causes of action in the cross-complaint. Cross-Complainant opposed.

TENTATIVE RULING:

Cross-Defendant's demurrer to the third cause of action (intentional misrepresentation) is OVERRULED.

Cross-Defendant's demurrer to the second and fifth causes of action is SUSTAINED. Whether leave to amend is granted will depend on whether Cross-Complainant can make an adequate offer of proof at the hearing that a successful amendment is reasonably possible.

Moving party is ordered to give notice, unless waived.

DISCUSSION:

Demurrer to Cross-Complaint

I. Meet and Confer

The Declaration of attorney Thomas Dreblow reflects that the meet and confer requirement was satisfied.

II. Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (*Taylor v. City of Los Angeles Dept. of Water and Power* (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or by proper judicial notice. (Code Civ. Pro. § 430.30, subd. (a).) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (*SKF Farms v. Superior Court* (1984) 153 Cal.App.3d 902, 905.) Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (*Ibid.*) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (*Hahn*, at p. 747.) “We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Serrano v. Priest* (1971) 5 Cal.App.3d 584, 591.) A “demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law.” (*S. Shore Land Co. v. Petersen* (1964) 226 Cal.App.2d 725, 732 (internal citations omitted).)

III. Analysis

Cross-Defendant demurs to the cross-complaint on grounds that the second, third, and fifth causes of action fail to state facts sufficient to constitute a cause of action. (Not. of Mot.)

1. Second Cause of Action (Breach of Good Faith and Fair Dealing)

“A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that bad faith implies unfair dealing rather than mistaken judgment.” (*Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1394.) “If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated ... [T]he only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery.” (*Id.* at pp. 1394-1395.) To recover in tort for breach of the implied covenant, the defendant must “have acted unreasonably or without proper cause.” (*Id.* at p. 1395, citations and italics omitted.)

Here, Plaintiff alleges, “SLP paid all of FLB’s invoices as proscribed per the terms of the Agreement from 2017 through September 2025, when it discovered FLB’s erroneous invoicing.” (Cross-Compl. ¶40.) “FLB’s erroneous invoicing and subsequent refusal to rectify such improper billing prevented SLP from receiving the benefits under the contract.” (Cross-Compl. ¶41.) “By doing so, FLB did not act fairly and in good faith.” (Cross-Compl. ¶42.) Because Cross-Complainant’s allegations do not go beyond the statement of a mere contractual breach and simply relies on the same acts and seeks the same damages already claimed in the breach of contract cause of action, they may be disregarded as superfluous as no additional claim is stated. (Cross-Compl. ¶¶34-36; see *Careau & Co. v. Security Pacific Business Credit, Inc.*, *supra*, 222 Cal.App.3d at p. 1394.)

Accordingly, Cross-Defendant's demurrer to the second cause of action is SUSTAINED.

Generally, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Ibid.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) Whether leave to amend is granted will depend on whether Cross-Complainant can make an adequate offer of proof at the hearing that a successful amendment is reasonably possible.

2. Third Cause of Action (Intentional Misrepresentation)

Cross-Defendant demurs to the third cause of action for intentional misrepresentations on the grounds that Cross-Complainant has not alleged facts with the required specificity that would allow for recovery under this cause of action.

The elements of fraud are: "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (*Charnay v. Cobert* (2006) 145 Cal.App.4th 170, 184.) In California, fraud, including misrepresentation, must be pled with specificity. (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184.) "The particularity demands that a plaintiff plead facts which show how, when, where, to whom, and by what means the representations were tendered." (*Cansino v. Bank of America* (2014) 224 Cal.App.4th 1462, 1469.)

Cross-Complainant alleges, "FLB consistently represented to SLP that it had performed and was performing the Services as outlined in their invoices, per the rates defined in the Rate Cards, pursuant to the Agreement." (Cross-Compl. ¶45.) "In actuality, FLB's invoices systemically contained dubious billings for unauthorized expenses." (Id. at ¶46.) "When FLB invoiced SLP, FLB either knew that the invoices it submitted contained erroneous charges at the time FLB submitted them, or was reckless as to the generation of those invoices." (Id. at ¶48.) "FLB intended that SLP rely on its misrepresentations and erroneous invoices." (Id. at ¶49.) Cross-Complainant provides one example of a fraudulent invoice. (Id. at ¶¶23-26.) In short, Cross-Complainant alleges "many of the invoices FLB had issued had one or more billing defects, including unauthorized service categories, unverifiable surveillance charges, fabricated billing categories, and payments of unauthorized charges including appearance fees for both the plaintiff and defendant in certain matters." (Id. at ¶17.)

These allegations are sufficient because the "how, when, where, to whom, and by what means the representations were tendered" is sufficiently alleged. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) While Cross-Defendant is correct that the allegations do not include any "First Legal employee, officer, manager, or representative who allegedly made any misrepresentation," the Court still finds the allegations sufficient. (Mot. at p. 7:9-10.) The precise identities of the natural persons who prepare the invoices need not be alleged, as such matters presumptively lie more within Cross-Defendant's knowledge. (*Tenet Healthsystem Desert, Inc. v. Blue Cross of California* (2016) 245 Cal.App.4th 821, 837-38; see also *West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 793; *Boschma v. Home Loan Center, Inc.* (2011) 198 Cal.App.4th 230, 248, ["While the precise identities of the employees responsible ... are not specified in the loan instrument, defendants possess the superior knowledge of who was responsible for crafting these loan documents."]) Therefore, Cross-Complainant has sufficiently alleged a cause of action for intentional misrepresentation.

Accordingly, Cross-Defendant's demurrer to the third cause of action is OVERRULED.

3. Fifth Cause of Action (Professional Negligence)

"The elements of a cause of action for professional negligence are (1) the existence of the duty of the professional to use such skill, prudence, and diligence as other members of the profession commonly possess and exercise; (2) breach of that duty; (3) a causal connection between the negligent conduct and the resulting injury; and (4) actual loss or damage resulting from the professional negligence." (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.)

Here, Cross-Complainant alleges, “FLB had a duty to use such skill, prudence and diligence as other legal service providers commonly possess and exercise. FLB breached its duty by failing to monitor and control the propriety of its invoices, and failing to properly track charges that it would force SLP to incur.” (Cross-Compl. ¶¶61-62.)

However, the Cross-Complaint does not allege Cross-Defendant failed to exercise any skill, prudence, or diligence as other members of this profession commonly possess and exercise. Instead, this appears to be duplicative of the breach of contract action as any duty to provide accurate billing statements would be rooted in the agreement between the parties, not in an independent professional duty to abide by the terms of the agreement. In opposition, Cross-Complainant cites no authority that demonstrates a duty for Cross-Defendant to “monitor and control the propriety of its invoices.” (Cross-Compl. ¶62.) Instead, Cross-Complainant argues “that FLB failed to perform services that it represented it had performed at all, and in many cases, performed professional services that SLP had not authorized or requested, including surveillance and unauthorized rush filing.” (Opp. at p. 4:5-7.) This is merely the allegations supporting a breach of contract in a new cause of action.

Accordingly, Cross-Defendant’s demurrer to the fifth cause of action for professional negligence is SUSTAINED.

Generally, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Ibid.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) Whether leave to amend is granted will depend on whether Cross-Complainant can make an adequate offer of proof at the hearing that a successful amendment is reasonably possible.

IT IS SO ORDERED.

Dated: July 8, 2026 _____

Randolph M. Hammock

Judge of the Superior Court

Any party may submit on the tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.